Divis Laboratories Ltd (DIVISLAB)

Concall tracker, Q2 2027 (Jul-Sep 2026) · One of the world's largest makers of drug ingredients (APIs): it makes generic APIs and custom chemistry for big global pharma, plus nutraceuticals, from plants in Andhra Pradesh and Telangana.

1. Snapshot

Number	Value	Plain read
Market cap	₹3,01,641 cr	One of India's most valuable pharma companies.
Q2 sales (standalone)	₹3,647 cr, up 37%	Its fastest growth in years.
Q2 operating margin	44% (34% a year ago)	It keeps 44 paise of every rupee of sales before interest and depreciation: very high for the industry.
Q2 net profit	₹1,140 cr, up 64%	Profit is growing almost twice as fast as sales.
P/E	87.7	Investors pay a very high price for each rupee of profit.
Cash	About ₹3,611 cr (June 2026)	Debt-free with a big cash pile.

2. Concall coverage

Quarter	Date	Transcript read?
Q4 FY23 to Q4 FY25	May 2023 to May 2025	Skimmed for promises (about 8 calls; Nov 2023 transcript not available)
Q1 FY26	Aug 2025	Yes
Q2 FY26	Nov 2025	Yes
Q3 FY26	Feb 2026	Yes
Q4 FY26	May 2026	Yes
Q1 FY27	1 Aug 2026	Yes, in full
Q2 FY27	Nov 2026	Transcript not yet published; Q2 numbers from results only

Twelve-plus calls over three years. The Q2 FY27 transcript wasn't on Screener or NSE yet, so the latest management commentary is from the August 2026 call and the Q2 read rests on the reported numbers.

Latest update highlights — Q2 FY27 results and Q1 FY27 call (Aug 2026)

- Q2 results: sales up 37% to ₹3,647 cr, margin up to 44% from 34%, profit up 64% to ₹1,140 cr.
- August call: custom synthesis (contract manufacturing for big pharma) was 60% of revenue, generics 40%; exports about 90%.
- Three dedicated plants built for long-term customer contracts are finishing validation; some product already shipped. Commercial supply expected from Q4 FY27.
- Peptides (the chemistry behind GLP-1 weight-loss drugs) are a big investment area, with several programs moving through qualification.
- Signing long-term contracts with two customers for iodine-based contrast media (used in scans).

Business mix & capacity

- Domestic vs export: exports about 90% of standalone revenue; Europe and North America are three-quarters of exports.

- Capacity: utilisation not disclosed; capital work in progress around ₹2,000 cr, three dedicated custom-synthesis projects near completion, Unit 3 at Kakinada running since January 2025.

3. Earning trigger thesis

Divi's is moving from mostly generic ingredients to more custom work for big drug makers, backed by long-term contracts and plants built specifically for them. Three of those plants are being validated now, and peptides for GLP-1 type drugs are the next leg. The jump in Q2 margin shows custom work is already flowing.

Trigger	What management said	Evidence so far	Time horizon	Strength
Three dedicated custom plants	Commercial from Q4 FY27 (Feb 2026); Jan 2027 when first contract signed (Apr 2024)	Validations done, some shipments	Q4 FY27	Strong: on schedule
Peptides	Strategic investment, several customer programs	Qualifications advancing	FY28+	Moderate
Contrast media	Long-term contracts being signed	Two customers	FY28	Unproven
Unit 3 Kakinada	Phase-wise start in FY25 (May 2024)	Commercial since Jan 2025	Done	Strong

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	Already debt-free.
New business	Yes	Contrast media contracts with two customers and peptides (Aug 2026).
Margin up	Yes	Material cost only 31% of revenue thanks to in-house intermediates and mix (Aug 2026).
New management	No	No change mentioned.
New capacity	Yes	Three dedicated plants finishing validation, commercial from Q4 FY27 (Feb and Aug 2026).
Big orders	Yes	Long-term supply agreements behind the three dedicated projects (2024-26).
Turnaround	No	Not applicable.
Promoter buying	No	Promoter stake flat at about 52%.

The single concrete driver: Three plants built for long-term custom-chemistry contracts with big drug makers, due to start commercial supply from Q4 FY27, with peptides next.

3c. Margin bridge

Margin rose from about 34% to 44% in a year as custom synthesis grew to 60% of sales and more starting materials are made in-house at Kakinada. Management hasn't said why Q2 jumped as the call isn't out yet (lasting, if custom work holds).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2024	Unit 3 Kakinada starts phase-wise in FY25	Commercial production from January 2025	Delivered
Apr 2024			

	First dedicated contract plant operational by Jan 2027	Validation done, commercial from Q4 FY27	Delivered (on track)
Nov 2025	Some custom projects commercial in 1-2 years	Custom synthesis now 60% of revenue	Delivered
2025-26	Peptide capacity and programs	Programs advancing, no revenue disclosed	Too-early

Very steady. The same three themes (custom synthesis, backward integration through Kakinada, peptides) run through three years of calls, and dates given have held. Management is tight-lipped about numbers because of customer confidentiality, so outsiders can't check order sizes.

5. Bottom line

Durable earning trigger? → YES

Custom synthesis is already lifting sales and margins, and dedicated plants tied to long-term contracts start in a few months.

Management consistent? → YES

Plant dates have held and the story hasn't changed. The only weakness is how little detail they share.

6. Checkpoints for next quarter

- Dedicated custom plants start commercial supply by Q4 FY27
- Margin stays near the new higher level
- Contrast media long-term contracts are signed

Sources: Screener.in financials and transcripts; Q1 FY27 transcript from NSE. Q2 FY27 transcript not yet available. This is not investment advice. Do your own due diligence.